

Before the
United States Copyright Office
Library of Congress
Washington, D.C. 20559

In the Matter of:

Section 1201 Study

Docket No. 2015-8

**JOINT COMMENTS OF THE DVD COPY CONTROL ASSOCIATION AND THE
ADVANCED ACCESS CONTENT SYSTEM LICENSING ADMINISTRATOR, LLC**

INTRODUCTION

The DVD Copy Control Association (“DVD CCA”), a not-for-profit corporation with its principal office in Morgan Hill, California, licenses the Content Scramble System (“CSS”) for use to protect against unauthorized access to or use of prerecorded video content contained on DVD discs. Its licensees include the owners of such content and the related authoring and disc replicating companies; producers of encryption engines, hardware and software decrypters; and manufacturers of DVD players and DVD-ROM drives.

The Access Content System Licensing Administrator, LLC (“AACCS LA”), is a cross-industry limited liability company with its principal offices in Beaverton, Oregon. AACCS LA developed and licenses the Advanced Access Content System (“AACCS”) technology for the protection of audiovisual content on optical media, in particular Blu-ray Discs (“BDs”). The Founders of AACCS LA are Warner Bros, Disney, Microsoft, Intel, Toshiba, Panasonic, Sony, and IBM.

As both encryption-based technologies have relied on section 1201 to protect prerecorded content distributed in digital formats, DVD CCA and AACS LA jointly file these comments in response to the Notice of Inquiry.

General

1. Please provide any insights or observations regarding the role and effectiveness of the prohibition on circumvention of technological measures in section 1201(a).

DVD CCA and AACS LA have each found that section 1201 has been essential for the development of the digital marketplace where content owners first released their high quality content in a digital format on DVDs and then subsequently on BDs. Specifically, the availability of CSS incentivized content owners to risk releasing their valuable content in a digital format on DVDs because CSS allowed content owners to protect their copyrighted works from unauthorized access (and, as discussed further below, from unauthorized copying or other uses). The technology does so by allowing content owners to encrypt their content on DVDs, and then this encrypted content can be lawfully played back only on licensed players that have the requisite keys and other technology necessary to decrypt the content on the DVD.

As the digital format shifted to high definition, AACS technology similarly promoted the release of content owners' high quality content in high definition for that part of the consumer market that still prefers to play back content from a physical medium such as BDs. Accordingly, content owners use AACS technology to encrypt the content for recording on BDs, such that it can only be lawfully played back on licensed Blu-ray disc players that have the requisite keys and other technology to decrypt the content from the BD. In addition to utilizing improved encryption technology, AACS includes other specific enhancements such as key revocation capabilities that prevent non-compliant devices from playing back subsequently released AACS encrypted content. Although a non-compliant device may still be able to play back the content

released on BDs prior to the key revocation, it will not be able to play back content newly released after the date of revocation.

As mentioned above, both CSS and AACS are intended to function only with licensed products. In other words, for a manufacturer of a play back product to have the necessary keys and other technology to decrypt CSS or AACS content, the manufacturer must obtain a license from DVD CCA or AACS LA.

The creation of the market for content distributed on DVDs, which inevitably led the way to today's robust digital marketplace, was only possible through the legal prohibitions established under section 1201(a) that have protected both CSS technology and its licensing regime. Various individual activities and products in the marketplace have threatened CSS and the protection that it affords copyrighted content distributed on DVDs.

One of the earliest courts to consider section 1201 noted that lawmakers had suggested that the first prohibition (against the act of circumventing an access control technology) guarded against "the electronic equivalent of breaking into a locked room in order to obtain a copy of a book[.]" while the second prohibition (against the trafficking of an access control circumvention product) "supplements the prohibition against the act of circumvention in paragraph (a)(1) with prohibitions on creating and making available certain technologies . . . developed or advertised to defeat technological protections against unauthorized access to a work." See *Universal City Studios, Inc. v. Reimerdes*, 111 F. Supp. 2d 294, 316 (S.D.N.Y. 2000). The Second Circuit, which considered the appeal of that trial court's decision, further explained the purpose in approving the two different prohibitions:

Congress targeted not only those pirates who would circumvent these digital walls (the "anti- circumvention provisions," contained in 17 U.S.C. § 1201(a)(1)), but also anyone who would traffic in a technology primarily designed to circumvent a

digital wall (the “anti-trafficking provisions,” contained in 17 U.S.C. § 1201(a)(2), (b)(1)).

Universal City Studios Inc. v. Corley, 273 F.3d 429, 435 (2nd Cir. 2001).

Not surprisingly, DVD CCA and its content owner CSS licensees have spent their energies in court enforcing the antitrafficking prohibitions as those products posed the greatest harm to CSS and the copyrighted content it protected on DVDs. *See, e.g., Universal Studios Inc. v. Corley*, 273 F.3d 429 (2nd Cir. 2001), *Universal Studios Inc. v Reimerdes*, 111 F. Supp.2d 294 (S.D.N.Y. 2000); *321 Studios v. Metro Goldwyn Mayers Studios, Inc.*, 307 F. Supp.2d 1085 (N.D. Ca. 2004) and *RealNetworks v. DVD Copy Control Ass’n*, 641 F. Supp.2d 913 (N.D. Ca. 2009).

In each of those cases, CSS content owner licensees alleged that the challenged product was a circumvention device and that the trafficking of the device would harm CSS protected DVDs. The courts agreed and enjoined the distribution of these products. In so doing, the courts readily found trafficking liability.

Reimerdes

In *Universal City Studios, Inc. v. Reimerdes*, 111 F. Supp.2d 294 (S.D.N.Y. 2000), the defendants had developed DeCSS, a program that would decrypt CSS, and sought to distribute the program from their website. The plaintiffs moved to enjoin the publication and further distribution of DeCSS. On the admission of the defendants that all DeCSS does is decrypt CSS, the court said that it was “perfectly obvious” that DeCSS was designed primarily to circumvent CSS. *See Reimerdes*, 111 F.Supp.2d at 318-19.

321 Studios

In *321 Studios v. Metro Goldwyn Mayer Studios, Inc.*, 307 F. Supp.2d 1085 (N.D. Ca. 2004), the manufacturer of two different DVD copying software products sought a declaratory

ruling that the products were not prohibited under the DMCA. The software made “use of a CSS ‘player key’ [and] publicly known computer code that performs the algorithms to decode the DVD data[.]” *321 Studios*, 307 F. Supp.2d at 1089, even though the manufacturer had no license to make use of the player key. In considering the defendants’ motion for summary judgment on whether 321 Studios was liable under the DMCA, the court noted that circumvention is defined in part by decrypting a technological measure without the authority of the copyright holder. *321 Studios*, 307 F. Supp.2d at 1095. The court went on to find that having a license for CSS was critical to engage in lawful decryption of a CSS-protected DVD, and because the manufacturer lacked a CSS-license, its products circumvented CSS. *321 Studios*, 307 F. Supp.2d at 1096.

As far as liability under the antitrafficking prohibitions the court determined that 321 Studios was liable under both the first and third provisions, respectively sections 1201(a)(2)(A) and 1201(a)(2)(C). 321 Studios had admitted that one feature of the software had the ability to unlock CSS. *See 321 Studios*, 307 F. Supp.2d at 1098. The court agreed with defendants that this challenged feature was enough for liability as the statute bars “any technology, product, service, device, component, or *part thereof* that is primarily designed or produced for the purpose of circumventing §§ 1201(a)(2) and (b)(1) (emphasis added).” *Id.* (emphasis in original). The court concluded that “portion of the software, therefore, violate[d] 17 U.S.C. § 1201(a)(2)(A).” *Id.* at 1098.

The court also found 321 Studios liable under the third prong for marketing a circumvention product. 321 Studios did not dispute that it marketed its products for use in circumvention. It instead argued that the antimarketing provision violated the First Amendment. *321 Studios*, 307 F. Supp.2d at 1098. The court reasoned that the First Amendment line of cases cited by 321 Studios did not protect illegal activity such as the circumvention involved here. *Id.*

After rejecting that argument, the court concluded “321's DVD copying software is in violation of the marketing provisions of [§] 1201(a)(2).” 321 Studios, 307 F. Supp.2d at 1099.

RealNetworks

In *RealNetworks, Inc. v. DVD Copy Control Association*, 641 F. Supp.2d 913 (N.D. Ca. 2009), a manufacturer that was also a CSS-licensee sought a declaratory judgment against DVD CCA that its product, RealDVD, did not violate either the CSS license or the DMCA. At the same time, the movie studios sought to enjoin the distribution of the RealDVD product. The RealDVD product included a feature that allowed the CSS-protected content on the DVD to be copied on to a computer hard drive and that copy could be played back without the DVD in the DVD drive.

The court found that the RealDVD product circumvented CSS when it saved a copy on to the hard drive. That process involved

RealDVD [accessing] DVD content from the hard drive without going through most of the CSS protection steps, such as DVD drive-locking, CSS authentication and CSS bus encryption. Once RealDVD has copied a DVD, it does not authenticate the DVD drive or receive encrypted keys at that time. The record shows that CSS technology requires that a DVD drive “lock” upon insertion of a CSS-protected DVD and prevent access to its contents until an CSS authorized player engages in an authentication procedure, none of which RealDVD does when it reads back DVD content from its hard drive.

RealNetworks, 641 F. Supp.2d at 933. The court concluded that the “process of authentication with the DVD drive, and subsequent content decryption, is thereby circumvented by the RealDVD products.” *Id.*

The court also addressed the circumvention that a CSS-licensee can engage in when it exceeds the scope of the CSS license. Following the earlier decision in *321 Studios*, that “only licensed DVD players can legally access the CSS keys in order to play DVDs” the court explained that “[l]icensed DVD players are not shielded from the DMCA for accessing the CSS

keys in order to perform non-licensed functions, such as copying DVD content and later accessing that DVD content from the hard drive.” *RealNetworks*, 641 F. Supp.2d. at 934.

According to the court,

The only time RealDVD accesses the CSS keys with authorization is the first time RealDVD reads a physical DVD that is inserted in the DVD Drive. Thereafter, RealDVD circumvents CSS when it accesses the DVD content from its hard drive, Every time the RealDVD product, . . . accesses DVD content from the hard drive, it does so by circumventing CSS technology and violating the access-control provision of the DMCA.

RealNetworks, 641 F. Supp.2d at 934.

The court found that RealNetworks had violated the antitrafficking prohibition because the manufacturer had “admitted its intent upon initial development [of the RealDVD] was to create a software product that copies DVDs to computer hard drives so that the user does not need the physical DVD to watch the content.” *RealNetworks*, 641 F. Supp.2d 913 at 933.

According to the court this admission did not require it to look beyond the first antitrafficking provision as the product was indeed designed primarily for circumvention of CSS technology. *Id.* at 933.

DVDFab

AACS LA sued the manufacturer and distributors of DVDFab software products for trafficking in circumvention products. *AACS LA v. DVDFab*, No. 14-cv-01112, Complaint (S.D.N.Y.). AACS LA alleged that the software removed AACS encryption, thereby permitting the content on the disc to be copied to another disc or hard drive. Complaint ¶ 24. Those copies had no AACS technology protection against further reproduction and distribution and could be played back on unlicensed devices and software media players. *Id.*

In its complaint, AACS LA also alleged that on defendants’ websites, the defendants marketed the products to “remove all Blu-ray copy protections,” are “powerful enough to rip any

Blu-ray since it can remove nearly all Blu-ray protections,” and “can remove . . . all known AACS copy protections.” Complaint ¶ 26.

After a show cause hearing at which the defendants failed to appear, the court issued a preliminary injunction that enjoined the distribution of the products, shut down defendants’ various websites, and prevented third-party service providers, such as banks and credit card processors, from doing business with the defendants. *See DVDFab*, No. 14-cv-01112 (Mar. 4, 2014) (Preliminary Injunction). Subsequently, the defendants sought, among other things, to amend the scope of the injunction. At that time the court reviewed the legality of the injunction issued from the bench during the show cause hearing. The court found:

There is no doubt that AACS is a technological measure designed to control access to copyright protected materials. Nor is there any doubt that Defendants’ primary, if not sole, business purpose is to decrypt these technological measures.

As far as the standard for the preliminary injunction, the court found that plaintiff made a clear showing that injunctive relief was appropriate. It noted, plaintiff

lacks an adequate remedy at law, because its business model rests upon its being able to prevent the copying of copyrighted works. If it is unable to prevent the circumvention of its technology, its business goodwill will likely be eroded, and the damages flowing therefrom extremely difficult to quantify.

DVDFab, No. 14-cv-01112 at 15 (Mar. 16, 2015) (citing *Macrovision v. Sima Products Corp.*, No. 05-CV-5587, 2006 WL 1063284, at *3 (S.D.N.Y. Apr. 20, 2006)) (Order) (quotations omitted). The court also pointed to the RealNetworks’ interpretation of the statutory authority for an injunction. “By making it a DMCA violation to distribute products that enable consumers to override copyright owner preferences against unauthorized copying, Congress determined that the public interest is best served by outlawing such products.” *DVDFab*, Order at 15 (citing *RealNetworks, Inc.*, 641 F. Supp. 2d at 943).

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Whether the challenge is from bad actors or legitimate businesses – some of whom may even hold licenses – enforcement of section 1201(a) has been critical to creating a stable marketplace. Content providers have taken the risk to introduce their products into the consumer home market. They did so based on the faith that CSS and AACS technologies and their respective licensing regimes will be sufficient to keep their products protected while widely distributed to consumers. Consequently, today consumers enjoy an unprecedented plethora of options for consuming digital content. Essential to this market development is the legal framework provided by the DMCA, which has encouraged both more aggressive engagement in the legitimate digital marketplace and cooperative efforts between content and technology providers to develop tools, like CSS and AACS, that enable that marketplace. Section 1201(a)(1) (the prohibition against circumvention) discourages individuals from engaging in acts of circumventing access controls. Section 1201(a)(2) (the antitrafficking provisions) keeps those tools that would circumvent access controls out of the marketplace. Our experience has shown that when CSS and AACS technologies have been challenged by either circumventing tools or products, the courts have consistently been able to apply the law and issue injunctive relief to prevent them from establishing a damaging foothold in the legitimate marketplace.

2. How should section 1201 accommodate interests that are outside of core copyright concerns, for example, in cases where circumvention of access controls protecting computer programs implicates issues of product interoperability or public safety?

Section 1201 implements into U.S. law the anticircumvention obligations that the U.S. committed to when it entered into the WIPO Internet treaties. Specifically, section 1201 provides legal protections in connection with the use of technological protection measures like CSS and AACS to protect motion picture content from unauthorized access and uses. In so doing, these technological protection measures preserve the value of the underlying copyrighted content distributed in the digital marketplace. This achievement is exactly what the legislative

history discusses with respect to adoption of the WIPO Treaties’ anticircumvention obligations. *See, e.g.*, S. Rep. No. 105-190 at 10 (May 11, 1998). While the legislative history discussed promoting the continued successful growth and economic importance of the copyright industries in the digital age, it distinguished the copyright industries from the “manufacturing sectors, including chemicals, industrial equipment, electronics, food processing, textiles and apparel and aircraft” and “the major industry sectors, including agriculture, automobiles and auto parts, and the aircraft industry.” *Id.* Undoubtedly, section 1201 was designed for the protection of motion picture copyright content, and for the advancement of the industries creating that content, holding the copyrights for such content, and making and marketing the legitimate devices for playing back and displaying such content in ways authorized through the use of the technological protection measures. All of this was foreseen as critical to the then-budding digital age.

As far as interests outside of the core copyright interests protected by CSS and AACS, DVD CCA and AACS LA have no particular views on how section 1201 should accommodate those interests. But regardless of whatever approach may be taken with respect to those interests, that approach must preserve (and not weaken) the availability and application of section 1201 to core copyright interests.

Rulemaking Process

3. Should section 1201 be adjusted to provide for presumptive renewal of previously granted exemptions—for example, when there is no meaningful opposition to renewal—or otherwise be modified to streamline the process of continuing an existing exemption? If so, how?

DVD CCA and AACS LA would oppose the creation of a presumption of renewal for an exemption, as it would not be consistent with the principles of administrative law. Moreover, the recurring nature of the rulemaking process was intended to allow it to be flexible and responsive to changes in the marketplace. There were good reasons why the rulemaking requires

proponents to put on their case and meet their burden of proof de novo. DVD-CCA and AACS LA believe those reasons continue to be sound today and are not advocating change. However, they would not oppose a streamlined process for meeting the burden for renewal of an existing exemption under the conditions noted below. Provided there is no substantive objection to a simple renewal request submitted to the Registrar, proponents of a renewal could choose either to use the streamlined process to renew previously granted exemptions without any modifications or to proceed through the normal deliberations of the rulemaking to determine if a modified exemption is warranted.

Based on the experience of DVD CCA participating in every one of the triennial rulemakings and AACS LA participating in the most recent two rulemakings, it is our observation that requesting parties rarely seek renewal of the same exact exemption that was previously granted. Instead, the requests have been for modifications of previously granted exemptions. Historically, DVD CCA has generally not opposed the continuation of the same CSS-related exemptions. So, the issue in the proceedings has been whether the modifications are justified, not whether the previous exemption should be renewed on the same terms as granted in the prior proceeding.

DVD CCA has raised concerns with respect to, and often objected to, modifications of previously granted exemptions, particularly when proponents sought expansion of the exemption.

In the most recent rulemaking, for example, in their first round of comments the Joint Educators sought a modified exemption. The previously granted exemption allowed college professors and college-level students to utilize short clips from DVD movies for class-based educational uses but only if the DVD quality available from circumventing CSS is necessary for

the educational purpose and only if no alternative to circumvention was available (e.g., through the use of screen capture software). The modification sought in the most recent proceeding would have extended the exemption by removing the limitations that (i) the particular use must require the higher resolution quality and (ii) alternatives to circumvention must first be sought and determined to be inadequate for the particular use.¹ Further, the modification would have extended the exemption to include circumvention of AACS technology to enable the use of high definition content from Blu-ray discs. These were major changes to the previously requested exemption that DVD CCA and AACS LA believe must meet the standard of evidence and proof for an exemption, and not be subject to some kind of pro forma extension proceeding.

Another example from the most recent proceeding is illustrated in the Register's Recommendation as follows:

Authors Alliance generally seeks renewal of a previously granted exemption permitting circumvention of TPMs for purposes of facilitating uses of motion picture excerpts in nonfiction multimedia e-books offering film analysis. The petition requests a few modifications to the previously granted exemption. First, the petition requests that any exemption include the circumvention of AACS-protected Blu-ray discs, a proposal that the Register declined to recommend in 2012. Second, the petition seeks an exemption in order to “make fair use of motion picture content” in any genre of multimedia e-book, as opposed to the more limited language of the 2012 exemption for uses “in nonfiction multimedia e-books offering film analysis.” Third, the petition is not limited to uses of “short

¹ The specific request from the Joint Educators was stated as follows:

The previous exemption must be renewed and expanded to allow college and university students and faculty to engage critically with audiovisual materials. The exemption must be expanded to include all audiovisual works in all courses and to include high definition formats such as Blu-ray discs protected by the Advanced Access Content System.

...

[A]n exemption must be renewed and expanded renewed and expanded to include audiovisual works accessed by college and university professors, students, and staffs of all disciplines.

Joint Educators' Initial Comments at 2-3.

portions” of audiovisual material, a limitation the Register found critical in 2012. Finally, although the initial proposal was limited to “motion pictures” at the public hearing, Authors Alliance suggested that video game excerpts should be included within this exemption.

2015 Recommendation at 33 (footnotes omitted).

This example also shows that the exemption proponents were either not able to articulate the request precisely at the beginning of the proceeding or actually modified their request even at the very last stage of the proceeding during the hearings. Hence, while the Register may have developed a practice of ultimately limiting her recommendations to renewing past exemptions, the “burden” on the parties and the Copyright Office has come from the fact that actual deliberations over the proposed exemptions are not simply to extend past exemptions but rather determining whether the exemption should be expanded as the proponents request.

In light of this experience, DVD CCA and AACCS LA believe that a streamlined process could include the following elements while remaining consistent with the *de novo* requirements of the law. Proponents that choose to use the streamlined approach for a simple renewal could request a nonmodified renewal by stating that the circumstances remain unchanged and they are relying on the past findings of the Register along with prior submissions to support the renewal. The opponents could then choose whether to challenge the renewal or not. They could challenge by providing a statement of a substantive basis for their objection. For example, market developments or abuse of the previously granted exemption could be reasons that opponents may object to the renewal. If substantive objections are proffered, then a streamlined approach would not be available, and proponents would proceed through regular deliberations of the rulemaking. But assuming no such objection, then the Register should be able to cite to the undisputed record of the proceeding showing both the assertion from the proponents that circumstances remain as demonstrated in the previous proceeding and the lack of substantive opposition to renewal as

sufficient to support the recommendation of renewal. This streamlined approach would be consistent with principles of administrative law sufficient to satisfy the current law's requirements that an exemption be granted on a de novo determination.

4. Please assess the current legal requirements that proponents of an exemption must satisfy to demonstrate entitlement to an exemption. Should they be altered? If so, how? In responding, please comment on the relationship to traditional principles of administrative law.

DVD CCA and AACCS LA agree with the Copyright Office's current interpretation of the legal requirements that exemption proponents must show in order to demonstrate an exemption is warranted.

5. Please provide additional suggestions to improve the rulemaking process.

In the most recent rulemaking, the Copyright Office introduced a new procedural approach that gave the proponents three opportunities to make written submissions in the course of the proceeding. Opponents however only had one opportunity to submit a written response. This approach gave the proponents ample opportunity to make their case for an exemption, while it handicapped the opponents' ability to respond.

Notwithstanding the Copyright Office's instructions to the contrary, the proponents made use of the reply comments to introduce new evidence and new arguments. That evidence and the associated arguments could have been introduced - and should have been introduced - in their earlier submissions. Opponents' only opportunity to respond to the "new case" was during the hearing. The hearing, however, is intended for the Copyright Office to inform itself on those issues that it perceives to be relevant - which may, but not necessarily, provide the opportunity for the opponents to adequately respond. DVD CCA and AACCS LA would point out that if the opponents had the chance to respond to the newly introduced matters before the hearing, an

additional written response on the new matters could have helped inform the Copyright Office to better pursue those issues that it believed to be most relevant.

In addition to pursuing exemptions to circumvent CSS and AACS technology through the triennial rulemaking, DVD CCA and AACS LA would point out that interested parties with reasonable and achievable requests consistent with those uses facilitated by previously granted exemptions may possibly be able to obtain voluntary solutions to their requests. DVD CCA and AACS LA have repeatedly stated a willingness to discuss issues with bona fide proponents to ascertain whether a voluntary solution could be reached. The legislative history recognizes the value of private sector and consultative approach to the adoption and deployment of technological measures. At the time, the approach was lauded for identifying and mitigating the “adverse effects” that a TPM technology may have on the performance of IT and consumer electronic equipment. *See* H.R. Rep. No 105-796 at 64-65 (Conference Report). In the circumstances in which DVD CCA and AACS LA provide our technological protection measures – although we recognize that other circumstances could be different in this regard – we believe that a consultative approach could be useful in certain instances to resolve particular possible adverse effects on fair use alleged to be caused by CSS or AACS technology. Such instances would, of course, need to be confined to situations in which bona fide proponents come to DVD CCA and AACS LA with reasonable and achievable requests consistent with those uses facilitated by previously granted exemptions.

Antitrafficking Prohibitions

6. Please assess the role of the antitrafficking provisions of sections 1201(a)(2) and 1201(b) in deterring copyright infringement, and address whether any amendments may be advisable.

As previously discussed in response to Question 1, DVD CCA and AACS LA and their licensees have found the antitrafficking provision of section 1201(a) crucial to keeping circumvention tools and circumventing products out of the marketplace. In two of the cases already discussed, *RealNetworks* and *321 Studios*, the courts found that the challenged products also violated the antitrafficking prohibition of section 1201(b). *See RealNetworks*, 641 F. Supp.2d at 936. (“[T]he court finds that Real has violated section 1201(b) of the DMCA by trafficking in RealDVD products for the purpose of circumventing CSS technology.”); *321 Studios*, 307 F. Supp.2d at 1099 (“[T]his Court finds that 321's software is in violation of . . . § 1201(b)(1), because it is both primarily designed and produced to circumvent CSS, and marketed to the public for use in circumventing CSS.”). Because courts have been successful in the application of sections 1201(a)(2) and 1201(b), and the availability of the remedies provided by those provisions have been essential to the development of the DVD and BD markets through the use of CSS and AACS technologies, DVD CCA and AACS LA see no reason to amend either section and would strongly oppose any such amendments.

7. Should section 1201 be amended to allow the adoption of exemptions to the prohibition on circumvention that can extend to exemptions to the antitrafficking prohibitions, and if so, in what way? For example, should the Register be able to recommend, and the Librarian able to adopt, exemptions that permit third-party assistance when justified by the record?

DVD CCA and AACS LA object to any proposal that would encourage the development of a legitimate marketplace for circumvention tools or circumventing products. It is axiomatic that legal frameworks enable the development of a marketplace. In fact, Congress approved the DMCA to foster the development of the online and digital marketplace. The Senate Committee Report states that without the legal protection content providers would not have readily entered the market:

Due to the ease with which digital works can be copied and distributed worldwide virtually instantaneously, copyright owners will hesitate to make their works readily available on the Internet without reasonable assurance that they will be protected against massive piracy. Legislation implementing the treaties provides this protection and creates the legal platform for launching the global digital on-line marketplace for copyrighted works. It will facilitate making available quickly and conveniently via the Internet the movies, music, software, and literary works that are the fruit of American creative genius. It will also encourage the continued growth of the existing off-line global marketplace for copyrighted works in digital format by setting strong international copyright standards.

S. Rep. N. 105-190 at 8. The ubiquity of high quality content available to consumers today is indisputable proof that the DMCA has worked just as Congress envisioned.

Crucial to the foundation of the legal framework established by the DMCA is Congress' decision to ban those tools and products that would jeopardize this framework. The *RealNetworks* court explained this decision at length:

By making it a DMCA violation to distribute products that enable consumers to override copyright owner preferences against unauthorized copying, Congress determined that the public interest is best served by outlawing such products.

. . .

The DMCA . . . clearly rebalance[d] the competing interests of copyright owners against copyright users. In so doing, the DMCA tipped the balance towards the copyright owners. The DMCA makes illegal the act of trafficking in circumvention tools. 17 U.S.C. §§ 1201(a), (b). The DMCA prohibits the circumvention of technological measures that guard copyrighted material, but does not prohibit the downstream or end use of those materials after circumvention has occurred. It is the technology itself at issue, not the uses to which the copyrighted material may be put. [W]hile it is not unlawful to circumvent [copy controls] for the purpose of engaging in fair use, it is unlawful to traffic in tools that allow fair use circumvention. That is part of the sacrifice Congress was willing to make

RealNetworks, 641 F. Supp.2d at 943-44. Thus, Congress has unequivocally banned circumventing tools and products.

As far as facilitating a fair use that would otherwise only be achievable by the use of a circumvention tool, DVD CCA and AACS LA have represented previously that they are willing to discuss how they could facilitate particular fair uses where their technologies are allegedly

having an adverse effect on that fair use. DVD CCA and AACCS LA wish to reiterate their willingness to pursue voluntary solutions.

Permanent Exemptions

8. Please assess whether the existing categories of permanent exemptions are necessary, relevant, and/or sufficient. How do the permanent exemptions affect the current state of reverse engineering, encryption research, and security testing? How do the permanent exemptions affect the activities of libraries, archives, and educational institutions? How might the existing permanent exemptions be amended to better facilitate such activities?

DVD CCA and AACCS LA are not aware of any issues with the existing categories of permanent exemptions.

9. Please assess whether there are other permanent exemption categories that Congress should consider establishing—for example, to facilitate access to literary works by print-disabled persons?

DVD CCA and AACCS LA are not aware of any additional categories of permanent exemptions that Congress should consider establishing.

Other

10. To what extent and how might any proposed amendments to section 1201 implicate the United States' trade and treaty obligations?

In the absence of a specific proposal, DVD CCA and AACCS LA are unable to comment on whether an amendment is consistent with trade and treaty obligations.

Conclusion

As discussed above, section 1201 has played a crucial role in fostering today's successful online and digital environments. More importantly, the triennial rulemaking process has been robust enough to accommodate various parties' interests in fair use – even if DVD CCA and AACCS LA have not agreed with the recommendations for exemptions. Those interests have been accommodated as far as the core copyright interests are concerned. As far as addressing those interests outside the core copyright industries, DVD CCA and AACCS LA caution that any

approach to resolve those outside interests should not come at the expense of weakening any of the strong protections that the DMCA has afforded to copyright owners and purveyors of TPM technologies.

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Respectfully submitted,

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